Pabrai Investment Funds

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To:	All Limited Partners and Investors of the Pabrai Investment Funds
From:	Mohnish Pabrai, Managing Partner
Date:	July 16, 2021
Re:	**Q2 2021 Results etc.**

Dear Partners:

For the quarter ended June 30, 2021, a total of $5.8 million was added to the various funds by new and existing partners. The additions on a per fund basis are:

PIF2: $0.9 million PIF3: $4.0 million PIF4: $0.9 million

The funds are currently open to all existing Pabrai investors to add funds. The next opening is October 1, 2021.

PIF2 is the oldest fund and has been closed to new investors for many years. SEC rules limit PIF2 to a total of 100 partners and the fund currently has one open slot. PIF2 is open to US-based investors who are qualified clients. The minimum investment to join PIF2 as a new partner is $4 million.

PIF3 is our offshore fund for non-US accredited offshore investors, and U.S. IRAs, foundations, and endowments. The minimum investment to join PIF3 as a new partner is $3.5 million. PIF4 is for qualified US-based investors. The minimum investment to join PIF4 as a new partner is $5 million.

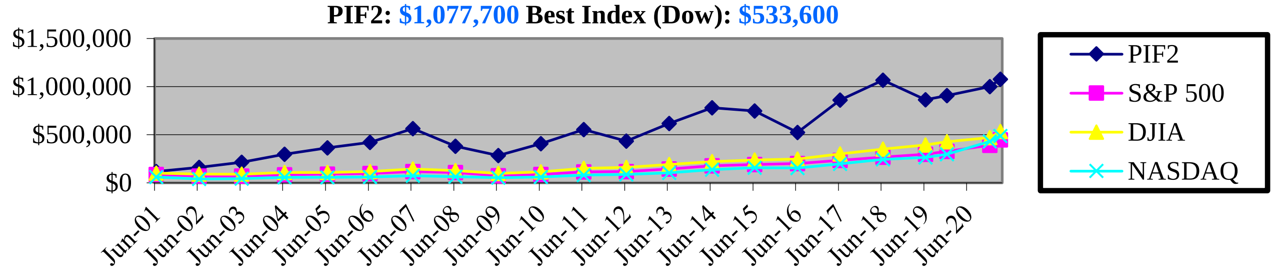
For current investors in any of the funds, the minimum addition to their current investment is $25,000. For IRA investors the minimum is $5,000. Here are the deposit slips for PIF2, PIF3 and PIF4. If you are interested in or would like more information about the October 1, 2021 opening, please contact me at mp@pabraifunds.com or Kimberly Engleman at ke@pabraifunds.com.

The updated performance numbers on all the funds are:

THE PABRAI INVESTMENT FUND II, LP (US Accredited Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF2 (net to investors)
10/1/00-6/30/01	-0.2%	-41.0%	-14.0%	+17.4%
7/1/01-6/30/02	-10.3%	-32.7%	-18.0%	+35.3%
7/1/02-6/30/03	-0.5%	+11.4%	+0.3%	+34.2%
7/1/03-6/30/04	+18.6%	+26.8%	+19.1%	+38.7%
7/1/04-6/30/05	+0.7%	+1.1%	+6.3%	+23.4%
7/1/05-6/30/06	+11.1%	+6.5%	+8.6%	+15.0%
7/1/06-6/30/07	+23.0%	+20.7%	+20.6%	+34.0%
7/1/07-6/30/08	-13.3%	-11.2%	-13.1%	-32.4%
7/1/08-6/30/09	-23.0%	-19.1%	-26.2%	-25.2%
7/1/09-6/30/10	+18.9%	+16.0%	+14.4%	+43.6%
7/1/10-6/30/11	+30.4%	+32.9%	+30.7%	+35.8%
7/1/11-6/30/12	+5.2%	+5.4%	+3.9%	-21.8%
7/1/12-6/30/13	+18.9%	+17.8%	+20.6%	+42.2%
7/1/13-6/30/14	+15.5%	+31.2%	+24.6%	+26.7%
7/1/14-6/30/15	+7.2%	+14.6%	+7.4%	-4.5%
7/1/15-6/30/16	+4.5%	-1.6%	+4.0%	-30.0%
7/1/16-6/30/17	+22.1%	+28.4%	+17.9%	+64.9%
7/1/17-6/30/18	+16.3%	+23.6%	+14.4%	+23.9%
7/1/18-6/30/19	+12.2%	+7.8%	+10.4%	-19.2%
7/1/19-6/30/20	-0.5%	+27.0%	+7.5%	-10.6%
7/1/20-6/30/21	+36.3%	+45.3%	+40.8%	+39.7%
1/1/21-6/30/21	+13.8%	+12.9%	+15.2%	+7.8%
Annualized	+8.4%	+7.9%	+7.5%	+12.1%
Cumulative	+433.6%	+387.7%	+348.3%	+977.7%

Comparison of changes in value of $100,000 invested in PIF2 vs. the Indices.
PIF2: $1,077,700 Best Index (Dow): $533,600



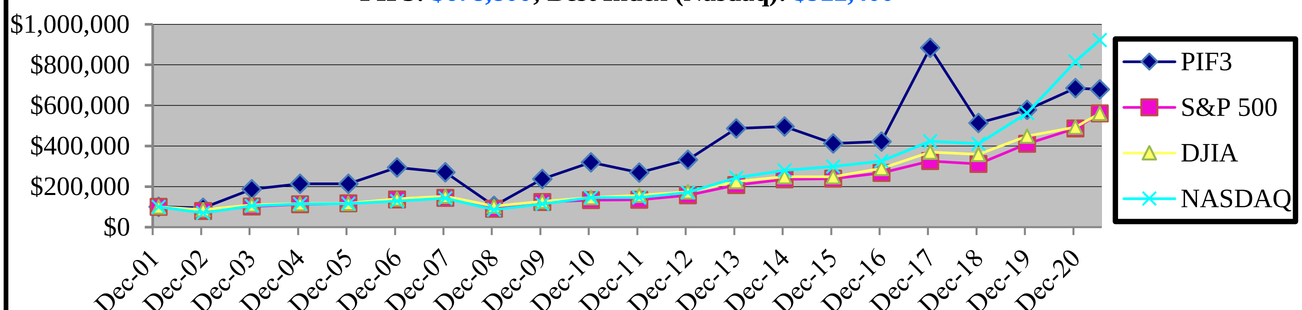
PIF2 Investors:

A $100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 ($197,900) was worth $1,509,900 as of June 30, 2021 (net to investors). This equates to an annualized return of 13.1% since inception – after all management fees and expenses. The best index over the same period was the Nasdaq and an investment of $100,000 in the Nasdaq on July 1, 1999 was worth $668,500 on June 30, 2021 – an annualized gain of 9.0%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3, LTD (Offshore/IRA Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF3 (net to investors)
2/1/02-12/31/02	-14.1%	-29.9%	-20.4%	-5.2%
1/1/03-12/31/03	+28.3%	+50.8%	+28.7%	+96.5%
1/1/04-12/31/04	+5.3%	+9.2%	+10.9%	+14.7%
1/1/05-12/31/05	+1.7%	+2.1%	+4.9%	-0.2%
1/1/06-12/31/06	+19.0%	+10.4%	+15.8%	+37.8%
1/1/07-12/31/07	+8.9%	+10.7%	+5.5%	-7.8%
1/1/08-12/31/08	-31.9%	-39.9%	-37.0%	-60.9%
1/1/09-12/31/09	+22.7%	+45.4%	+26.5%	+125.0%
1/1/10-12/31/10	+14.1%	+18.2%	+15.1%	+34.4%
1/1/11-12/31/11	+8.4%	-0.8%	+2.1%	-15.7%
1/1/12-12/31/12	+10.2%	+17.7%	+16.0%	+23.4%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+46.6%
1/1/14-12/31/14	+10.0%	+14.8%	+13.7%	+1.9%
1/1/15-12/31/15	+0.2%	+7.1%	+1.4%	-16.7%
1/1/16-12/31/16	+16.5%	+8.9%	+11.9%	+2.3%
1/1/17-12/31/17	+28.1%	+29.7%	+21.8%	+109.2%
1/1/18-12/31/18	-3.5%	-2.8%	-4.4%	-41.9%
1/1/19-12/31/19	+25.3%	+36.7%	+31.5%	+12.5%
1/1/20-12/31/20	+9.7%	+45.1%	+18.4%	+18.4%
1/1/21-06/30/21	+13.8%	+12.9%	+15.2%	-0.9%
Annualized	+9.3%	+12.1%	+9.3%	+10.4%
Cumulative	+460.2%	+822.4%	+460.1%	+578.8%

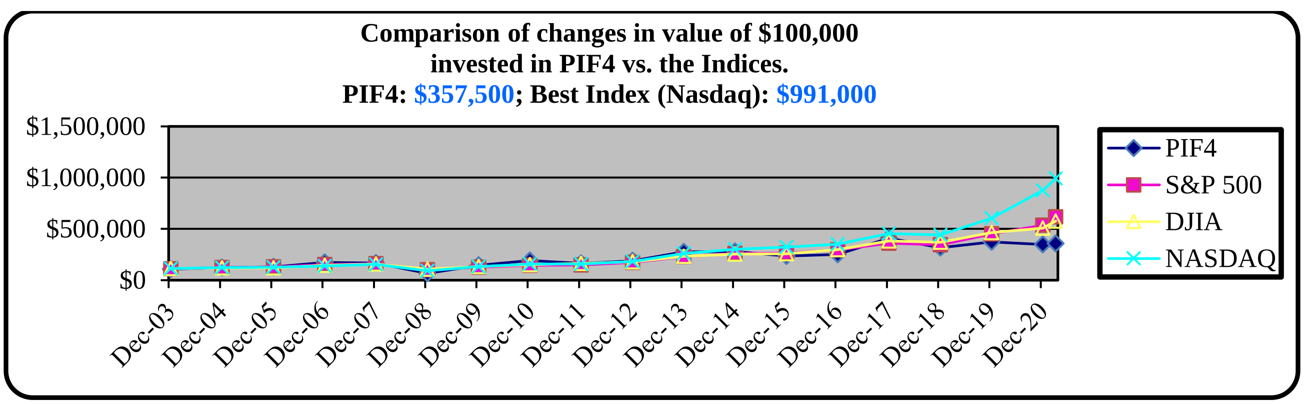
Comparison of changes in value of $100,000 invested in PIF3 vs. the Indices.
PIF3: $678,800; Best Index (Nasdaq): $922,400



PIF3 Investors:
A $100,000 investment in PIF3 at inception on February 1, 2002 was worth $678,800 as of June 30, 2021 (net to investors). This equates to an annualized return of 10.4% since inception. The best index over the same period was the Nasdaq and an investment of $100,000 in the Nasdaq on February 1, 2002 was worth $922,400 on June 30, 2021 – an annualized gain of 12.1%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as December 31, 2001 for readability. The correct start date is Feb. 1, 2002.

THE PABRAI INVESTMENT FUND IV, LP (US Qualified Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF4 (net to investors)
10/1/03-12/31/03	+13.4%	+12.3%	+12.2%	+8.4%
1/1/04-12/31/04	+5.3%	+9.2%	+10.9%	+14.4%
1/1/05-12/31/05	+1.7%	+2.1%	+4.9%	+4.9%
1/1/06-12/31/06	+19.0%	+10.4%	+15.8%	+32.4%
1/1/07-12/31/07	+8.9%	+10.7%	+5.5%	-3.4%
1/1/08-12/31/08	-31.9%	-39.9%	-37.0%	-60.0%
1/1/09-12/31/09	+22.7%	+45.4%	+26.5%	+118.8%
1/1/10-12/31/10	+14.1%	+18.2%	+15.1%	+30.7%
1/1/11-12/31/11	+8.4%	-0.8%	+2.1%	-14.8%
1/1/12-12/31/12	+10.2%	+17.7%	+16.0%	+16.1%
1/1/13-12/31/13	+29.6%	+40.2%	+32.4%	+46.0%
1/1/14-12/31/14	+10.0%	+14.8%	+13.7%	+1.8%
1/1/15-12/31/15	+0.2%	+7.1%	+1.4%	-15.4%
1/1/16-12/31/16	+16.5%	+8.9%	+11.9%	+6.3%
1/1/17-12/31/17	+28.1%	+29.7%	+21.8%	+62.4%
1/1/18-12/31/18	-3.5%	-2.8%	-4.4%	-22.8%
1/1/19-12/31/19	+25.3%	+36.7%	+31.5%	+18.0%
1/1/20-12/31/20	+9.7%	+45.1%	+18.4%	-6.7%
1/1/21-06/30/21	+13.8%	+12.9%	+15.2%	+2.7%
Annualized	+10.4%	+13.8%	+10.8%	+7.4%
Cumulative	+477.2%	+891.0%	+517.7%	+257.5%



PIF4 Investors:

A $100,000 investment in PIF4 at inception on October 1, 2003 was worth $357,500 as of June 30, 2021 (net to investors). This equates to an annualized gain of 7.4% since inception. The best index over the same period was the Nasdaq and an investment of $100,000 in the Nasdaq on October 1, 2003 was worth $991,000 on June 30, 2021 – an annualized gain of 13.8%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

While all three funds were up for the quarter, they lagged all three indices (with the sole exception of PIF2 performing 1.5% better than the Dow). It is not just the quarter. All three funds have lagged all three indices since April 2018. I had mentioned on Pages 5-7 of the 2020 Annual Report that Pabrai Funds has had long stretches of beating the indices coupled with relatively short periods of laggard performance.

All three funds beat virtually all the indices from inception through Q1 2018. They trounced the indices over 1, 3, 5, 10 and 15 years as well. Baring a major market dislocation, I am cautiously optimistic that our most recent stretch of underperformance likely ended on June 30, 2021.

My optimism stems from the current Pabrai Funds portfolio having an unusually high weightage of several (likely) future multi-baggers. I am sure one or more of these will turn out to be a dud, but the upside is so high with the group that we should do very well even with several duds in the mix.

Here are some important bets we made over the last decade:

2012:	Fiat Chrysler
2015:	Rain Industries (India)
2018:	Micron Technology
2018:	Edelweiss Financial (India)
2019:	Reysas Lojistik (Turkey)
2020:	Seritage Growth Properties
2020:	Two undisclosed compounders

In 2012 Pabrai Funds invested $70 million in Fiat Chrysler stock and received $259 million when we exited. The buy decision was brilliant, but I handled our sales poorly. Had we simply held the entire position, it would be worth over $629 million today – more than the current assets under management! Just the dividends alone were over $70 million from 2016-21. You can find a discussion on our adventures with Fiat Chrysler and the Ferrari spinoff starting on Page 13 of the 2019 Annual Report.

In 2015, we acquired a 9.99% stake for $20 million in Rain Industries. Rain is based in Hyderabad in India. Foreign investors are not allowed to own more than 10% of any listed business in India. By 2018, the position was worth over $200 million and, in my infinite wisdom, I did not sell. Did I mention that I am useless at selling? Even though we blew selling Rain at a 10x gain in less than three years, all is not lost. The stock is up more than 5x since 2015 and has plenty of room to run. I discussed Rain at some length in the January 2021 Letter to Partners (starting on Page 11).

Micron has more than doubled since we bought it three years ago. It is just getting warmed up. Reysas has possibilities of being the first hundred bagger in Pabrai Funds. It is already more than a five bagger in less than two years. It may take us more than ten years to get there, but we are in no hurry. Seritage has more than doubled since we bought it last year. It is still quite undervalued. Edelweiss and our two undisclosed compounders are likely big multi-baggers in the years ahead.

We have many other positions like Alibaba (China), Nice Holdings (Korea), Shinoken Group (Japan) and Sunteck Realty (India) that are all likely to deliver robust returns in the years ahead. I am certain one or more of these will flatline or even end up being a losing bet. Nonetheless, if I succeed at doing nothing for a few years, the results should be more than acceptable.

PIF3's Regulatory Glitch In India

PIF3 had a relatively minor inadvertent foot fault and was technically not in compliance with brand new regulations in India that took effect in January 2021. As soon as we became aware of the issue, we figured out the solution, got back into compliance and disclosed the slip-up to the Securities Exchange Board of India (SEBI). We were out of compliance for less than two weeks, and less than two days after knowing about it. We were very surprised that SEBI took a particularly harsh stance and insisted that we liquidate all the PIF3 holdings in India by June 30, 2021.

All our funds have always operated globally with the highest ethical standards. We tried very hard to have SEBI reverse their stance, but they refused. An ugly 2nd Covid wave hit India in Q1 2021. Mumbai went into lockdown and most of SEBI's team again went back to working remotely. Covid made interaction with SEBI's remote team very hard and perhaps that played a role.

In April, after all our appeals to SEBI fell on deaf ears, PIF3 began liquidating its $60 million India portfolio. One plausible path after liquidating the holdings was to surrender our original PIF3 FPI (Foreign Portfolio Investor) license to SEBI and then apply for a new PIF3 FPI license. If SEBI accepted the surrender and granted our new license, we could try to get back to where we were.

On June 10th, PIF3 completed the sales and surrendered its original FPI (Foreign Portfolio Investor) license to SEBI. On July 5th, PIF3 was granted a new FPI license and was allowed to resume normal trading in India. SEBI approved our surrender in record time and also imposed no fines or penalties on us.

I did not want to sell a single share of Edelweiss Financial, Rain Industries and Sunteck Realty. We received $58.5 million in proceeds from these sales. All three stocks moved up dramatically after we sold and if we wanted to buy back our positions at the closing price of July 13, it would cost us $79.6 million. Our AUM in PIF3 would be $20 million higher today (about 12.5%) without the forced selling.

Rain Industries was sold at an average price of Rs. 179/share. Rain was changing hands at Rs. 200 on July 5 and Rs. 235/share on July 13 – a three-year high. Similarly, we sold Edelweiss at an average price of Rs. 61 and the price was Rs 74 on July 5 and Rs. 100 on July 13 – an 18-month high. I knew this was a risk as all three stocks had catalysts that were beginning to emerge just as we were selling the last shares we owned. We have bought back some of these positions as they are still deeply undervalued.

There is a silver lining here. Prior to the SEBI debacle, Pabrai Funds was fully invested and unable to buy some very compelling positions. The forced selling allowed me to plough meaningful amounts into some very high conviction non-India investments. Some of these are likely to be massive multi-baggers in the next decade or two.

We were sitting on more than 4x gain on Rain Industries and it made up 20% of PIF3's AUM. While Rain was significantly undervalued, it is not a compounder. I was already thinking about whether I should lighten up on Rain and use the proceeds towards the long-term compounders I was drooling over. That debate ended when we were forced to sell Rain. In short order, about $12.5 million went into positions that could be ten baggers in ten years or less.

Clearly the forced selling has hurt PIF3 in the near term. It is possible that we come out ahead in the end or at least not be meaningfully worse off in the long term. I will do a look-back in a few years and give you the scorecard.

I have included in Appendix B a more detailed description of the SEBI saga.

Alignment of Interests

My immediate family has a stake of 175,859 units of PIF2 and 433,197 units of PIF4. The administrative team at Pabrai Funds and I own 54,157 units of PIF4 and 15,545 units of PIF3 in various retirement accounts. In addition, The Dakshana Foundation owns 77,006 units of PIF3. The aggregate stake of the Pabrai family, the Pabrai Funds team and The Dakshana Foundation in Pabrai Funds is worth approximately $43 million.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the second largest investor in the funds. No fees were earned in Q2 2021.

I have an approximately $8.0 million investment in Dhandho Holdings. Additionally, The Dakshana Foundation has an approximately $0.8 million investment in Dhandho Holdings. Besides this, I have no other meaningful interests in any other mutual funds, hedge funds or private equity funds. Our interests are completely aligned.

Online Portal for Investment Statements

All of you should have received an email from Liccar Fund Services with instructions to set up your own online portal to access your investor statements moving forward. Your 6/30/21 investor statement has been uploaded to the portal.

If you have not yet set your investor portal password, please contact Kimberly Engleman at ke@pabraifunds.com for assistance.

2020 Annual Report

The 2020 Annual Report of Pabrai Funds is on the website for your perusal.

Annual Redemption Date Only for Retirement Account RMDs

Last year the Coronavirus Aid, Relief and Economic Security (CARES) Act temporarily waived 2020 required minimum distributions (RMDs) from tax-deferred 401(k)s and individual retirement accounts (IRAs). In addition, the RMD age threshold was permanently increased from 70.5 to 72.

There is no longer an RMD waiver for 2021. As a result, everyone age 72 and older as of December 31, 2021 must take their RMD by year end to avoid the 50% penalty. If this is their first RMD then they have until April 1, 2022.

We have an annual redemption date on September 30th only for retirement accounts invested in the PIFs in which the beneficial owner is 72 years or older. The purpose of this is to allow folks who are 72 years or older and who are invested in the PIFs with retirement assets to meet their annual RMDs. These investors can also still redeem whatever they wish on 12/31 with 60 days' advance notice.

We recommend that these folks make their first redemption request with the next 5 years in mind and redeem 20% of their balance. They can then keep those retirement funds in cash or a low-cost index fund with daily liquidity (e.g., an S&P 500 index fund with their broker/custodian) and tap that annually for RMDs as needed. Then, each year, they can redeem an additional 3.5% - 7% to make sure that they have sufficient funds for RMDs at all times.

We need to receive the redemption request with 60 days' advance notice (i.e., by August 1st). Please nudge Kimberly Engleman at ke@pabraifunds.com if this is of interest and she will provide you with a redemption request form.

Chai With Pabrai Blog

Please check out my blog www.ChaiWithPabrai.com which I try to keep updated. With zero travel due to Covid, I have reduced my decline rate on speaking to students. I try to do 1-2 Zoom sessions with students every month. This is about the max. of what I am interested in doing. Here are some recent additions to the blog:

Q&A Session with London Business School MBA Students - May 19, 2021

I very much enjoyed my Q&A session with the LBS (London Business School) Investment Management Club. I talked about cloning Buffett and Munger, investing in India and the advantage to investors to think like entrepreneurs.

Q&A Session with London Business School MBA Students - May 19, 2021 - Chai with Pabrai (chaiwithpabrai.com)

Q&A Session with The Kolkata Value Hunters Club - May 12, 2021

I enjoyed my banter with The Kolkata Value Hunters Club for the Knowledge Speakers Series. We talked about the book *Richer, Wiser, Happier* and how my investment philosophy changed over the years. We also discussed Dakshana Foundation and approaching philanthropy with an investor's mindset.

Q&A Session with The Kolkata Value Hunters Club - May 12, 2021 - Chai with Pabrai (chaiwithpabrai.com)

Suggestion Box

We are always interested in hearing how we can better serve you. Please feel free to email me any suggestions/feedback you may have at mp@pabraifunds.com.

2021 Annual Meeting – Save the Date

Given the continuing realities of Covid, there will be just one annual meeting in 2021. It will be held digitally via video conference on **Saturday, September 18th, 2021** at 12:00 PM Pacific Time. Confirmed guests will receive instructions via email on how to attend the virtual meeting.

This meeting will be a combined meeting for Pabrai Funds and all Dhandho entities.

Agenda for the virtual meeting:

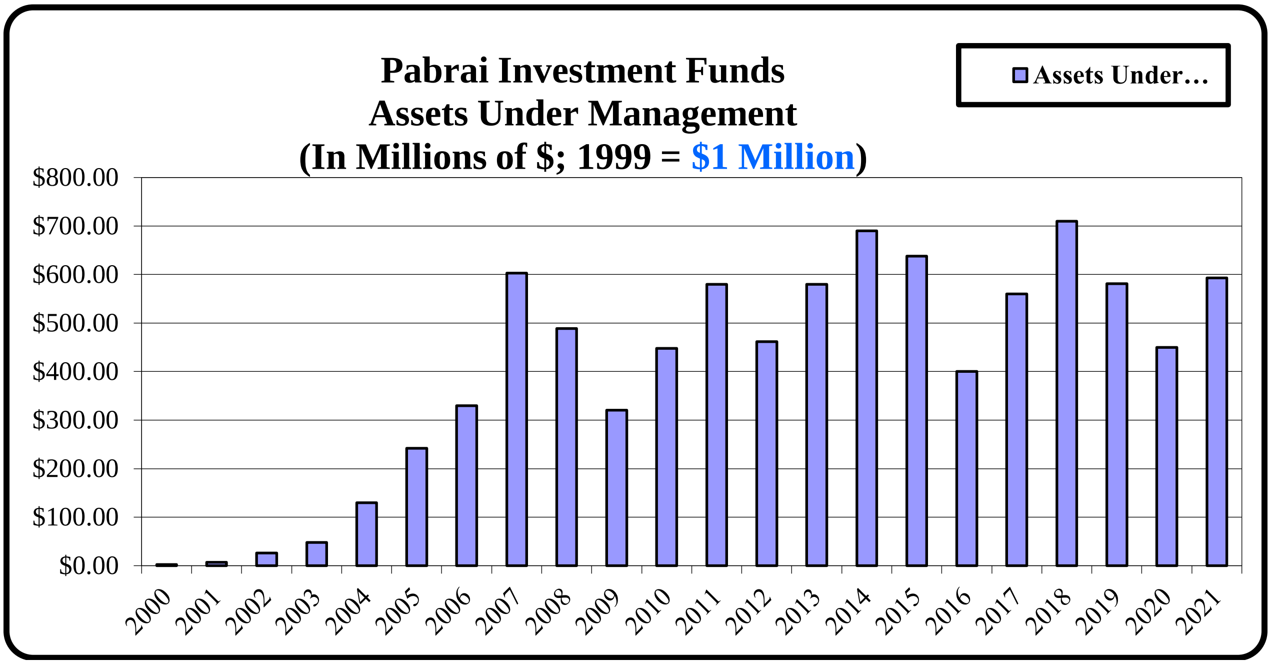
12:00 – 2:00 PM Pacific Time: Presentation and Q&A

The invites will go out electronically via email in July 2021. Look for it in your inbox! If you don't receive it, please contact invite@pabraifunds.com. Your significant other and young kids are welcome to attend. As we are now a Registered Investment Advisor, the SEC requires that all guests must be "accredited investors," which includes your adult kids (22 years or older). The invitation is non-transferable.

Stay healthy and safe. I look forward to e-meeting you in September.

Assets Under Management

There is $594 million in assets under management between all the funds as of July 1, 2021.



Thanks for your continued interest, referrals and support. Feel free to call me at +1949.453.0609 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Note: The assets under management in the above graph are as of June 30 for all annual periods. Various indices are included throughout this letter for reference. Reference to an index or benchmark does not imply that the strategy will achieve returns, experience volatility, or have other results similar to the index. As an example, the Funds may invest in foreign securities or fixed income instruments; however the indices presented only include U.S. securities. These indices are purely a basket of stocks, and the Funds may invest in securities other than stocks such as bonds, warrants and preferred stocks. The Funds typically hold fewer than 10 positions as compared to 500 in the S&P, 30 in the DJIA, and thousands in the NASDAQ. Therefore, the Funds are significantly more concentrated than the benchmark indices and may experience notably higher volatility and return characteristics from these indices.

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Appendix A

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/01/2000	$10.00
330,014	06/30/2001	$11.74
1,027,795	06/30/2002	$15.89
1,950,982	06/30/2003	$21.32
2,445,212	06/30/2004	$29.58
2,696,687	06/30/2005	$36.52
2,646,687	06/30/2006	$41.99
3,013,111	06/30/2007	$56.25
2,934,990	06/30/2008	$38.01
2,468,091	06/30/2009	$28.45
2,409,165	06/30/2010	$40.84
2,257,421	06/30/2011	$55.46
2,180,892	06/30/2012	$43.36
2,057,676	06/30/2013	$61.68
1,906,927	06/30/2014	$78.13
1,795,006	06/30/2015	$74.64
1,684,602	06/30/2016	$52.26
1,774,805	06/30/2017	$86.17
1,959,084	06/30/2018	$106.77
1,896,122	06/30/2019	$86.30
1,830,037	06/30/2020	$77.13
1,832,258	09/30/2020	$78.80
1,773,298	12/31/2020	$100.00
1,833,800	03/31/2021	$101.15
1,841,919	06/30/2021	$107.77

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	02/01/2002	$10.00
265,919	12/31/2002	$9.48
485,041	12/31/2003	$18.63
1,774,753	12/31/2004	$21.37
2,478,793	12/31/2005	$21.32
2,930,608	12/31/2006	$29.37
6,438,615	12/31/2007	$27.09
5,415,189	12/31/2008	$10.57
5,038,658	12/31/2009	$23.79
4,885,267	12/31/2010	$31.95
4,701,613	12/31/2011	$26.92
4,318,818	12/31/2012	$33.21
4,384,591	12/31/2013	$48.70
4,290,222	12/31/2014	$49.61
3,805,336	12/31/2015	$41.33
2,433,652	12/31/2016	$42.27
2,409,693	12/31/2017	$88.45
2,473,097	12/31/2018	$51.42
2,376,897	12/31/2019	$57.85
2,326,717	12/31/2020	$68.52
2,447,468	03/31/2021	$66.38
2,506,573	06/30/2021	$67.88

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/01/2003	$10.00
1,219,330	12/31/2003	$10.84
5,627,712	12/31/2004	$12.40
9,314,803	12/31/2005	$13.01
11,528,331	12/31/2006	$17.23
16,899,746	12/31/2007	$16.64
15,737,042	12/31/2008	$ 6.66
15,725,066	12/31/2009	$14.57
15,251,129	12/31/2010	$19.05
14,493,713	12/31/2011	$16.24
12,398,564	12/31/2012	$18.85
11,560,683	12/31/2013	$27.53
10,642,015	12/31/2014	$28.03
9,531,764	12/31/2015	$23.71
8,792,042	12/31/2016	$25.21
8,040,030	12/31/2017	$40.96
7,809,565	12/31/2018	$31.64
6,628,989	12/31/2019	$37.33
6,034,088	12/31/2020	$34.82
6,273,790	03/31/2021	$35.24
6,298,962	06/30/2021	$35.75

Appendix B

The PIF3 SEBI Saga

In November 2019, the Securities Exchange Board of India (SEBI) issued a set of guidelines limiting the ability of Overseas Citizen of India (OCI) cardholders to directly control foreign funds invested in India. OCI is a wonderful program that allows foreign citizens with Indian heritage to have permanent residency in India. I am a naturalized US citizen and have been a proud OCI cardholder since 2010. SEBI's guidelines are meant to prevent Indian residents from finding loopholes with their OCI contacts to get around capital controls. SEBI's guidelines took effect on 12/31/20. Funds not in compliance with the rules would be required to liquidate all of their Indian holdings within 6 months.

Foreign Portfolio Investors in India are regulated by SEBI via their respective bank custodians. We worked closely with Kotak, our custodian, in 2020 to ensure that all of our funds complied with the guidelines, and Kotak advised us that we met the requirements prior to December 31, 2020. Subsequently, on January 12, 2021, Kotak informed us that a class of Manager Shares that I owned directly in PIF3, which we had fully disclosed to Kotak, conflicted with one of the conditions related to OCI control.

Immediately following this notice, on January 13, 2021, PIF3 implemented the required changes to comply. Kotak placed a hold on PIF3's ability to make fresh purchases pending SEBI's approval to continue operating normally. PIF3 held full positions in three businesses in India that we intended to keep. But we did not have anything new to buy, so the hold on new buys did not impact us. We disclosed the ongoing episode in the subsequent events of our 12/31/20 audit report.

In late April 2021, after several rounds of back-and-forth communications with SEBI, PIF3 was advised that it needed to liquidate its holdings in India to comply with the letter of the guidelines.

Past performance is not indicative of future results. Returns are presented net of all fees and expenses, include the reinvestment of income and are calculated using a simple rate of return. The securities discussed do not represent all securities recommended for the Funds. It is also not a recommendation to buy or sell and one should not presume they will be profitable.

Please be aware that our past newsletters may discuss specific securities that have performed well without necessarily addressing those that have underperformed within our Fund(s). Readers should not infer that all investment decisions within the Funds were profitable.